Practice workbook · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Explaining or judging why a business allows for debts that may not be paid (usually through prudence and accruals), telling a debt known to be lost apart from an estimate of possible losses, and deciding which treatment suits a situation.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-07

1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

1 Romala, a sole trader, buys and sells goods on credit only.

On 31 August 2024, she provided the following information.

Balance at 1 September 2023	$
Bank	21 550
Inventory	39 500
Motor vehicles – carrying value	30 000
Other payables – general expenses	1 750
Trade payables	37 500
Trade receivables	48 200

Bank summary

Receipts	$	Payments	$
Trade receivables	215 000	Trade payables	135 125
		Drawings	21 900
		Wages	10 550
		General expenses	16 125
		Motor expenses	8 900

Additional information at 31 August 2024

- Closing inventory was valued at $32 600
- Motor vehicles are depreciated at 25% per annum on a reducing balance basis. There had been no purchases or disposals of motor vehicles during the year.
- Irrecoverable debts of $850 were to be written off.
- Profit for the year as a percentage of revenue was 20%.
- During the year, total sales were $235 000 and total purchases were $139 875
- Other receivables for general expenses were $950

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1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

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(a) Calculate, at 31 August 2024, the:

(i) trade receivables

(4)

(ii) trade payables.

(3)

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1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

(iii) Prepare the statement of financial position at 31 August 2024.

(13)

Romala
Statement of financial position at 31 August 2024

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1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

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1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

Romala is concerned about the number of irrecoverable debts and is considering creating a provision for irrecoverable debts.

(b) Discuss, referring to appropriate accounting concepts, whether Romala should create a provision for irrecoverable debts.

(5)

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(Total for Question 1 = 25 marks)

1. Question 1 · part b · 5 marks · Working and answer

Working and answer

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2. Question 18 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

18 (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

Account	$
Trade receivables	18 600
Provision for irrecoverable debts	744

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

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2. Question 18 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

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(iii) Prepare the provision for irrecoverable debts account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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(d) Identify, indicating with a tick (✓), where the balance of each account would be shown in a statement of financial position.

(2)

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation				
Provision for irrecoverable debts				

2. Question 18 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

(e) Explain why the prudence concept applies when creating a provision for irrecoverable debts.

(3)

(f) State **one** way in which Xi could reduce his irrecoverable debts.

(1)

(Total for Question 18 = 15 marks)

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2. Question 18 · part e · 3 marks · Working and answer

Working and answer

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3. Question 17 · part e · 5 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

17 (a) Complete the table below, indicating with a tick (✓) which account will be debited and which account will be credited when writing off an irrecoverable debt.

(2)

Account	Debit	Credit
Trade receivables control		
Irrecoverable debts		

(b) State **two** accounting concepts that apply when writing off an irrecoverable debt.

(2)

1 .....

2 .....

Nyan maintains a provision for irrecoverable debts of 5% of trade receivables.

On 1 March 2019 the balance of the provision for irrecoverable debts account was $1 845

On 29 February 2020 trade receivables were $42 520. This included $380 that Nyan considered to be irrecoverable.

(c) Calculate the balance of the provision for irrecoverable debts at 29 February 2020.

(2)

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3. Question 17 · part e · 5 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

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(d) Prepare the provision for irrecoverable debts account for the year ended 29 February 2020. Balance the account at this date and bring down the balance on 1 March 2020.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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(e) Evaluate the reasons why it is necessary for a business to create a provision for irrecoverable debts.

(5)

(Total for Question 17 = 15 marks)

3. Question 17 · part e · 5 marks · Working and answer

Working and answer

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4. Question 17 · part a · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part a only.

17 (a) Explain **one** reason why a business may find it necessary to make a provision for irrecoverable debts.

(2)

.....

.....

.....

.....

(b) Identify, indicating with a tick (✓), the classification of each of the following in the statement of financial position.

(i) Rent expense prepaid

(1)

Other payables	
Other receivables	
Provision	

(ii) Wages accrued

(1)

Other payables	
Other receivables	
Provision	

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4. Question 17 · part a · 2 marks · Working and answer

Working and answer

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5. Question 10 · part whole · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

10 Identify when a provision for irrecoverable debts should be created.

- ☒ **A** When irrecoverable debts are written off
- ☒ **B** When a trader ceases trading
- ☒ **C** When a trader is bankrupt
- ☒ **D** When assessing the chances of irrecoverable debts

(Total for Question 10 = 1 mark)

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Working and answer

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6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

2 Amira, a sole trader, does not keep full accounting records. She has provided the following information.

	1 April 2020 $	31 March 2021 $
Motor vehicle		
Cost	40 000	50 000
Accumulated depreciation	19 520	**To be calculated**
Land	31 670	31 670
Cash at bank	1 350	1 650 Cr
Inventory	21 500	24 000
Other receivables - insurance	1 500	–
Trade payables	32 000	31 000
Trade receivables	34 500	37 500

During the year ended 31 March 2021 Amira sold her motor vehicle for $22 940.

In addition, she purchased a new motor vehicle costing $50 000. Motor vehicles are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Amira borrowed $50 000 as an interest free loan repayable in five equal annual instalments. The first instalment was paid on 31 March 2021.

Her cash drawings during the year amounted to $25 000 and she also took goods costing $5 000 for her personal use.

At 31 March 2021 irrecoverable debts of $2 500 were to be written off. A provision for irrecoverable debts of 5% was to be created.

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6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

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6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

(a) Prepare the statement of affairs (statement of financial position) at 1 April 2020.

(4)

Amira
Statement of affairs at 1 April 2020

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6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

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(b) Prepare the statement of affairs (statement of financial position) at 31 March 2021.

(11)

Amira
Statement of affairs at 31 March 2021

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6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

(c) Prepare the equity account for the year ended 31 March 2021 to show the profit or loss for the year.

(5)

Equity Account

Date	Details	$	Date	Details	$

(d) Explain, referring to a relevant accounting concept, why Amira:

(i) introduced a provision for irrecoverable debts

(2)

(ii) used the reducing balance method rather than the straight line method of depreciating her motor vehicle.

(3)

(Total for Question 2 = 25 marks)

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6. Question 2 · part d.i · 2 marks · Working and answer

Working and answer

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7. Question 2 · part c.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

2 Ali provides consultancy services to local businesses.
He provided the following information.

	At 1 May 2021 $	At 30 April 2022 $
Motor vehicle – Cost	34 000	To be calculated
Motor vehicle – Provision for depreciation	12 000	
Provision for irrecoverable debts	140	
Equity	17 100	
Bank loan	2 500	1 800
Bank overdraft	5 140	2 060
Other payables – wages	210	–
Other payables – fuel	310	480
Trade receivables – income owing	2 800	3 270
Other receivables – office rent and rates	600	1 200
Other receivables – insurance	–	110

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During the year ended 30 April 2022

- Total income received was $71 690
- Ali took total drawings of $35 350
- The following payments were made:
  - wages $15 920
  - fuel $8 140
  - insurance $660
  - office rent and rates $7 800
  - bank loan and interest repayments $740

Additional information

- The motor vehicle is depreciated using the straight line method over five years. The estimated residual value of the motor vehicle at the end of year five is $4 000
- At 30 April 2022, income owing to Ali of $3 270 included an irrecoverable debt of $70
- Ali wishes to maintain a provision for irrecoverable debts of 5% of trade receivables.
- The balance on the bank loan is repayable in 2024.

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7. Question 2 · part c.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

(a) Prepare the income statement for the year ended 30 April 2022.

(12)

Ali
Income statement for the year ended 30 April 2022

	$	$
Income		
Wages		
Fuel		
Insurance		
Depreciation		
Office rent and rates		
Irrecoverable debts		
Provision for irrecoverable debts		
Bank interest		
Profit for the year		

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7. Question 2 · part c.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

(b) Prepare the statement of financial position at 30 April 2022.

(8)

Ali
Statement of financial position at 30 April 2022

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7. Question 2 · part c.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

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(c) (i) Explain why the **prudence** concept should be applied when writing off an irrecoverable debt.

(3)

(ii) Explain why the **accruals** concept should be applied when providing for depreciation of a motor vehicle.

(2)

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(Total for Question 2 = 25 marks)

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7. Question 2 · part c.i · 3 marks · Working and answer

Working and answer

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8. Question 1 · part c.i · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

1 On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

Bank summary

Receipts	$	Payments	$
Capital	75 000	Drawings	31 750
Trade receivables	165 200	Motor vehicle	40 000
Balance c/d	3 225	Office expenses	18 975
		Rent and rates	14 600
		Trade payables	104 200
		Wages and salaries	28 900
		Motor expenses	5 000
	243 425		243 425
		Balance b/d	3 225

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

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8. Question 1 · part c.i · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(a) Prepare the income statement for the year ended 30 April 2022.

(10)

Sajjan
Income statement for the year ended 30 April 2022

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8. Question 1 · part c.i · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

Sajjan
Statement of financial position at 30 April 2022

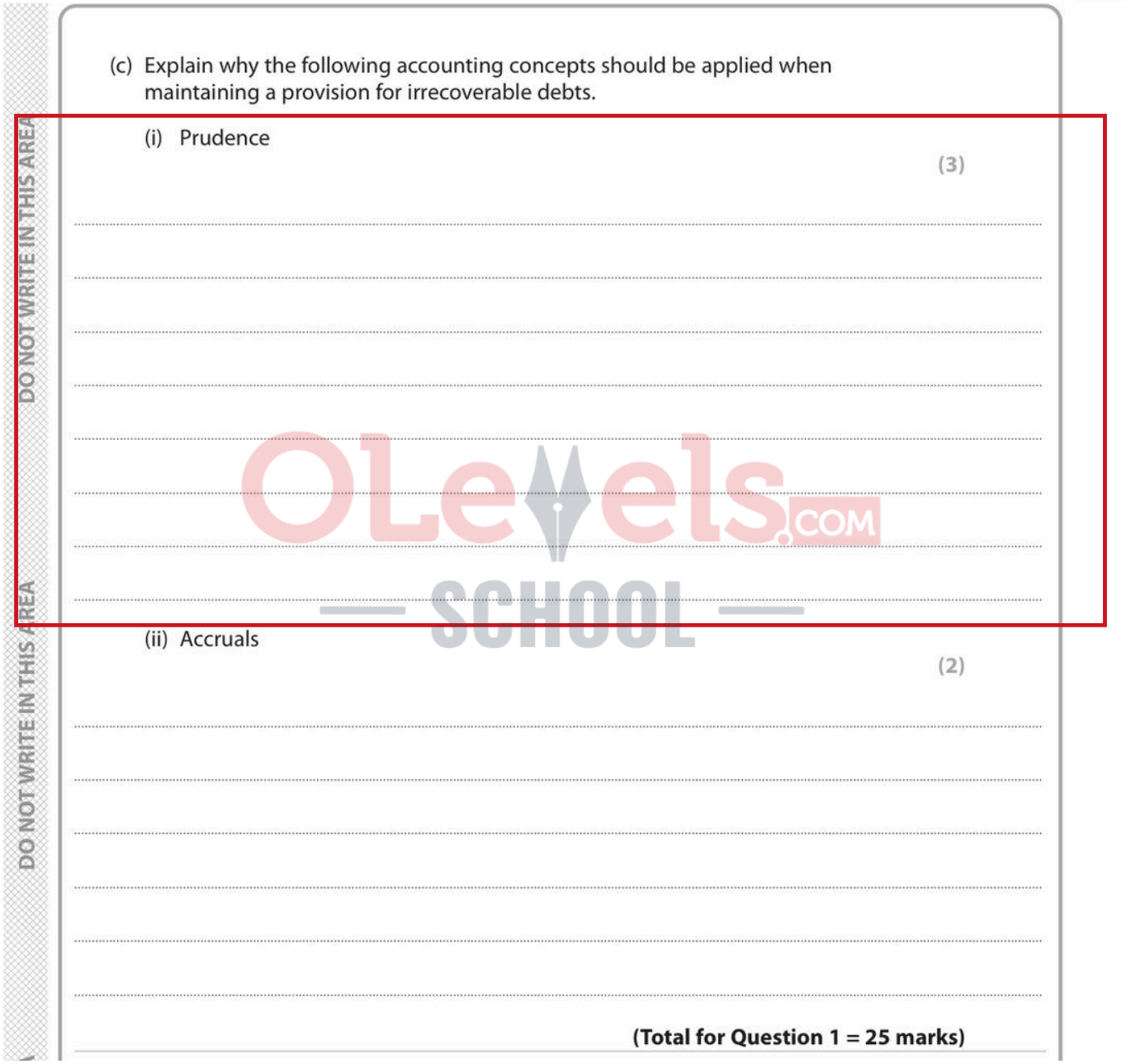
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8. Question 1 · part c.i · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.



(c) Explain why the following accounting concepts should be applied when maintaining a provision for irrecoverable debts.

(i) Prudence

(3)

(ii) Accruals

(2)

(Total for Question 1 = 25 marks)

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8. Question 1 · part c.i · 3 marks · Working and answer

Working and answer

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9. Question 1 · part c.ii · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

1 On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

Bank summary

Receipts	$	Payments	$
Capital	75 000	Drawings	31 750
Trade receivables	165 200	Motor vehicle	40 000
Balance c/d	3 225	Office expenses	18 975
		Rent and rates	14 600
		Trade payables	104 200
		Wages and salaries	28 900
		Motor expenses	5 000
	243 425		243 425
		Balance b/d	3 225

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

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9. Question 1 · part c.ii · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

(a) Prepare the income statement for the year ended 30 April 2022.

(10)

Sajjan
Income statement for the year ended 30 April 2022

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9. Question 1 · part c.ii · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

Sajjan
Statement of financial position at 30 April 2022

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9. Question 1 · part c.ii · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

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(c) Explain why the following accounting concepts should be applied when maintaining a provision for irrecoverable debts.

(i) Prudence

(3)

(ii) Accruals

(2)

(Total for Question 1 = 25 marks)

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9. Question 1 · part c.ii · 2 marks · Working and answer

Working and answer

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10. Question 2 · part a.i · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part a.i only.

2 (a) (i) Explain how the creation of a provision for irrecoverable debts is an application of the prudence concept.

(3)

(ii) Explain how the recording of goods taken by the owner is an application of the business entity concept.

(2)

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10. Question 2 · part a.i · 3 marks · Working and answer

Working and answer

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11. Question 13 · part b · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part b only.

13 (a) State **one** accounting concept applied when making a provision for irrecoverable debts.

(1)

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(b) State **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

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(c) Identify, indicating with a tick (✓), in which section of the financial statement each would appear.

(2)

	Income statement		Statement of financial position	
	Income	**Expenses**	**Current assets**	**Current liabilities**
Decrease in provision for irrecoverable debts				
Balance of provision for irrecoverable debts account				

(Total for Question 13 = 5 marks)

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11. Question 13 · part b · 2 marks · Working and answer

Working and answer

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12. Question 18 · part a · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part a only.

18 (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

Account	$
Trade receivables	18 600
Provision for irrecoverable debts	744

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

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12. Question 18 · part a · 2 marks · Working and answer

Working and answer

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13. Question 17 · part b · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part b only.

17 Archie provided the following information for the month of March 2025.

At 1 March 2025, Archie owed credit suppliers $26 330

During the month of March 2025	$
Cash purchases	8 412
Cheque payment to supplier dishonoured	160
Discount allowed	1 188
Discount received	945
Payments to credit suppliers	35 780
Purchases day book total	34 570
Purchases returns day book total	1 227
Receivables ledger set off	340

At 31 March 2025, Archie had overpaid a credit supplier $220

(a) Prepare the trade payables control account for the month of March 2025. Balance the account on 31 March 2025 and bring the balances down on 1 April 2025.

(10)

Trade Payables Control Account

Date 2025	Details	$	Date 2025	Details	$

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13. Question 17 · part b · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part b only.

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Archie also maintains a trade receivables control account.

He suspects that not all customers will pay the full amount of their debts. He is considering two options:

Option 1: write off a percentage of his trade receivables as irrecoverable

Option 2: make a provision for irrecoverable debts.

(b) Discuss, with reference to an accounting concept, which action he should take.

(5)

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(Total for Question 17 = 15 marks)

13. Question 17 · part b · 5 marks · Working and answer

Working and answer

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